

Daily Economic Briefing

Wednesday 16 September 2026 | Window: Tue 15 Sept close/AH – Wed 16 Sept close/AH | Research cutoff approx. 20:00 ET Wed 16 Sept 2026 | Edition 22

Assumptions, corrections and status this edition

- **The FOMC hiked.** Fed Chair Kevin Warsh re-confirmed fresh against federalreserve.gov's own Board of Governors page^[2]: Warsh (Chair), Philip N. Jefferson (Vice Chair), Michelle W. Bowman (Vice Chair for Supervision), Michael S. Barr, Lisa D. Cook, Jerome H. Powell (Governor – remains on the Board, no longer Chair), Christopher J. Waller (Governor). The Committee raised the target range 25bp to 3.75%–4.00% by a unanimous 12-0 vote – the first hike since 2023^[3], resolving edition 21's open lead story.
- Some outlets reported a much sharper equity selloff (S&P -1%, Dow >700pts/-1.7%, Nasdaq -0.8%)^[5] than the settled closes below. That reading captures the intraday trough during Chair Warsh's press conference, not the 4:00pm close – we use the AP-wire close, corroborated by three independent syndication mirrors plus SPY/DIA/IWM proxy triangulation^[1].
- Edition 21 flagged that AP's index-close wire failed to post for 15 Sept – a first-time gap. It posted normally for 16 Sept^[1], so that appears to have been a one-off rather than a pattern.
- Gold shows a genuine, explainable split rather than a data conflict: COMEX December futures settled +1.3% to \$4,387.50 at the 1:30pm ET pit close – *before* the 2pm decision – while continuously-traded spot gold fell 1.2% to \$4,240.10 by 3:10pm ET as the hawkish press conference reversed the earlier rally^{[19][20]}. We treat spot as the fuller read of the session and disclose both.
- LME's direct site, which worked for copper on 15 Sept, returned a fetch error this run; copper is sourced via Shanghai Metals Market's LME 3-month print instead and flagged single-sourced^[22].
- Two conflicting settlement pairs turned up for Brent/WTI; we used the CNBC/Investrade-corroborated pair and treat a Trading-Economics-derived pair as a likely stale or mislabeled snapshot^[18].

60-second read

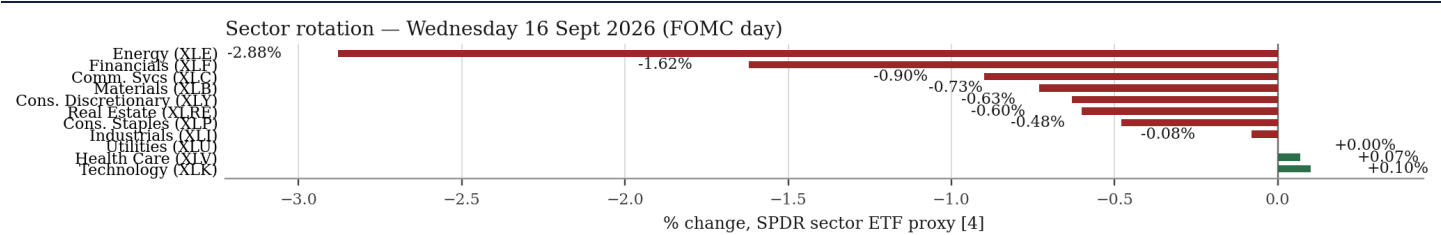
1. Fed hikes 25bp to 3.75%–4.00%, first increase since 2023, unanimous 12-0 – and the dot plot is hawkish: 16 of 18 officials see at least one more 2026 hike (median 4.1% by year-end)^{[3][6]}. Warsh's press conference ("inflation remains elevated") drove a late reversal that took the S&P from a brief post-decision gain to a -0.4% close^{[1][7]}.
2. Banks were the day's clearest rate-hike losers – Goldman Sachs -3.96%, Wells Fargo -2.98%, Bank of America -2.72%, Citigroup -2.36%, on higher funding costs and CEO commentary flagging softer trading revenue^[24]; Financials (XLF) was the second-worst sector at -1.62%^[4].
3. J.B. Hunt was the session's biggest single-name mover, -13.3%, after warning Q3 EPS will fall 5-10% from Q2 on record diesel costs and higher driver expenses – Barclays and BofA both cut price targets same day^[25].
4. 10-year Treasury yield closed above 5% for the first time since 2007 (5.016%, +2bp) as the hawkish dot plot reset the rate path; the 2-year rose to a 2024 high near 4.73-4.74% on bets for an October follow-up hike^{[8][9]}. DXY jumped 0.61% to 100.28, a fifth straight up day and its biggest one-day gain since mid-June^[21].
5. VIX closed 17.71 (+3.0%), having spiked to 18.94 intraday around the decision; the term structure shows a rare clean sweep – VIX9D (17.40) sits just below spot while VIX3M/VIX6M step up to 19.73/21.03, signalling near-term event risk resolved but medium-term vol still bid on the hawkish dots^{[26][27]}.

1. Market recap

S&P 500 7,551.81 -0.4% (-33.92)	Dow Jones 51,461.90 -1.2% (-631.21)	Nasdaq Comp. 25,978.42 -0.01% (-3.15)	Russell 2000 2,858.81 -0.4% (-11.47)	10-yr UST 5.016% +2bp	VIX 17.71 +3.0%
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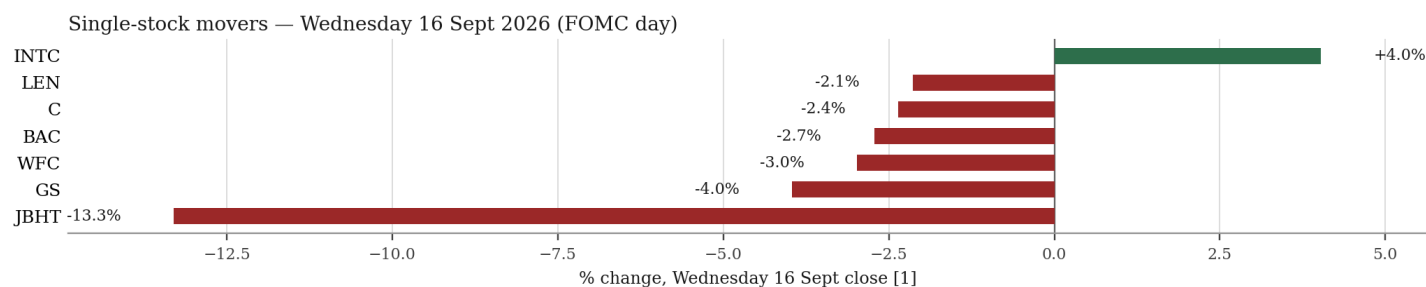
Equities fell for a third straight session as the Fed delivered a genuine, unanimous 25bp hike to 3.75%–4.00%^[3] and Chair Warsh's press conference tilted hawkish on inflation, erasing an initial post-decision bounce^[1]. The Dow's -1.2% close was the laggard, dragged by the four largest banks all falling more than 2%^{[1][24]}; the Nasdaq was effectively flat (-0.01%) as Technology (XLK +0.10%) was the only sector besides Health Care to close green, helped by Intel's +4.03% jump on reported SK Hynix fab talks^{[4][28]}. Week-to-date the Dow is off 2.1%, the Russell 1.6%, the S&P 1.4% and the Nasdaq 1.3%; year-to-date all four indices remain solidly positive (S&P +10.3%, Dow +7.1%, Nasdaq +11.8%, Russell +15.2%)^[1].

2. Equities and earnings



Sector rotation flipped sharply from Tuesday: Energy (XLE -2.88%) was Wednesday's worst performer as crude reversed lower, and Financials (XLF -1.62%) was second-worst on the rate hike, while Tuesday's leader-laggard order essentially inverted^[4]. Only Technology (+0.10%) and Health Care (+0.07%) closed positive; Utilities was flat.

Single-stock movers



Ticker	Move	Driver
JBHT	-13.3%	Warned Q3 EPS to fall 5-10% vs. Q2 on record diesel costs plus approx. \$25m added driver expense; Barclays cut PT to \$285 (from \$300), BofA to \$302 (from \$340, kept Buy) ^[25]
GS	-3.96%	Rate-hike-sensitive bank selloff; CEO Solomon flagged softer FICC trading, higher Q3 expenses ^[24]
WFC	-2.98%	Same bank-sector selloff ^[24]
BAC	-2.72%	Same bank-sector selloff ^[24]
C	-2.36%	Same bank-sector selloff ^[24]
LEN	-2.14%	Q3 EPS \$1.23 vs. \$1.28 cons.; revenue \$8.05bn vs. \$8.31bn cons. (-8.7% YoY); new orders -9% to 20,879 homes; reported after Wed close, call Thu ^[29]
INTC	+4.03%	Reports SK Hynix in early talks to lease space at/JV on Intel's planned Ohio fab for US memory manufacturing; preliminary, no deal structure agreed ^[28]

JPMorgan closed a milder -1.01% among the majors, rounding out a clean sweep of bank declines tied directly to the hike and to Wednesday's dot-plot signal of further tightening^[24]. Wednesday's Benzinga-tracked ratings sheet carried 37 upgrades against 11 downgrades: notable upgrades included Union Pacific (UBS, Neutral → Buy), AB InBev (Deutsche Bank, Hold → Buy) and Booking Holdings (Morgan Stanley assumed coverage, Overweight); notable downgrades included Expedia (Morgan Stanley, Equal Weight → Underweight) and Stellantis (Berenberg, Buy → Hold)^[30].

3. Macro, policy and rates

The Fed's statement described an economy "expanding solidly" with employment keeping pace with workforce growth and inflation "elevated," framing the hike as support for "a timelier return to the Committee's 2 percent goal"^[3]. The Summary of Economic Projections was the hawkish surprise: median fed funds seen at 4.1% by end-2026 (up from 3.8% in June) and 4.1% in 2027 (up from 3.6%); of 18 participants, 12 see one more 2026 hike (to 4.1%), 4 see two more (to 4.4%), and only 2 see none; core PCE inflation median rose to 3.4% for 2026 (from 3.3%)^[6]. In the press conference Warsh repeated that "inflation remains elevated," said the Fed "cannot affect any individual price" but must stop relative-price shocks from broadening into the wider economy, and declined to comment on any discussions with the White House^[7].

Odds heading into the meeting had climbed unevenly across venues – from roughly 58% in late August to a 81-93% cluster by Tuesday depending on the poll and platform^[10] – wide enough that no single consensus number existed, though the direction was consistently toward a hike. Polymarket pricing shifted quickly after the decision to approximately 92% odds of a further hike at the October meeting; we could not corroborate that figure on a second venue, so it is disclosed single-sourced^[11]. The 10-year Treasury yield closed at 5.016% (+2bp), its first close above 5% since 2007^[8]; the 2-year rose more than 7bp to approximately 4.73-4.74%, its highest since 2024, as markets repriced toward an October move^[9]. August retail sales, released the same morning, added to the hawkish case: headline +1.2% m/m (vs. +0.8% cons.), control group +1.4% – the strongest nominal control-group print since September 2024^[12].

No new developments on Iran/Hormuz: the Oman-mediated Salalah Iran-GCC talks remain postponed at Saudi Arabia's request with no new date set, unchanged from edition 21^[13]. No new US-Canada tariff developments. On copper, the broader White House plan to tax imported refined copper reportedly remains stalled over manufacturing-cost concerns; separately, US Customs began rejecting entry summaries lacking copper smelt/cast country-of-origin data as of 14 Sept, an enforcement tightening rather than a new tariff^[14]. Alongside the hike, the Fed lifted IORB to 3.90% and set the standing repo facility rate at 4.00%/ON RRP at 3.75%, both effective 17 Sept – a routine corridor shift with no signs of funding stress^[15].

4. Commodities and FX

Instrument	Level	Chg	Note
Brent crude	\$105.83/bbl	-2.7%	Saudi pipeline restoration progress dominated over Iran risk premium ^[18]
WTI crude	\$102.43/bbl	-3.2%	Sharpest drop in three weeks; also pressured by dollar strength post-hike ^[18]
Gold (spot)	\$4,240.10/oz	-1.2%	As of 3:10pm ET; reversed a >1% intraday gain after Warsh's hawkish tone ^[19]
Gold (COMEX Dec fut.)	\$4,387.50/oz	+1.3%	Pit-settled 1:30pm ET, before the 2pm decision – see disclosure box ^[20]
Silver (spot)	\$62.57/oz	-1.7%	Tracked gold's post-decision reversal ^[19]
Copper (LME 3M)	approx. \$14,250/tonne	+0.96%	Single-sourced (SMM); direct lme.com fetch failed this edition ^[22]
DX-Y	100.28	+0.61%	Highest since 31 July; 5th straight up day, biggest 1-day gain since mid-June ^[21]
EUR/USD	1.1470	-0.62%	Euro softened on hawkish Fed guidance ^[21]
USD/JPY	156.11	Yen weaker	Notable one-day move ahead of Friday's BoJ decision; precise % not independently corroborated ^[21]

Oil's reversal was driven chiefly by Energy Secretary Chris Wright's comments that the Saudi East-West pipeline outage is a "brief and temporary interruption" measured in days, with roughly half of capacity targeted for restoration within days and full restoration in about six weeks – easing the supply fears that had driven the prior week's rally^[18]. Natural gas (Henry Hub) was reported around \$2.90/MMBtu (-0.55%) by a single source we could not independently corroborate; treat as indicative only.

5. Derivatives, volatility and positioning

VIX closed 17.71 (+3.0% vs. Tuesday's 17.20), having spiked to an intraday 18.94 around the 2pm decision before cooling – confirmed both by a market-close recap and CBOE's own delayed-quotes feed, which for once returned a full clean sweep with all series carrying a fresh 16:15 ET timestamp (SKEW at 17:00 ET)^{[26][27]}. The term structure is kinked rather than in a single clean state: VIX9D (17.40) sits just below spot – consistent with the FOMC risk window having just rolled off – while VIX3M (19.73) and VIX6M (21.03) step up, and VVIX (95.41) and SKEW (145.95) both stayed elevated, pointing to medium-term hedging demand on the hawkish dot plot^[27]. SPX's realized move was a close-to-close -0.45%, well inside the roughly 1.1% Tuesday's weekly options had priced for the event, though the intraday path (a brief post-release gain reversing to the close) covered closer to a 0.75-point round trip^{[28][31]}; we did not find a sourced historical-average FOMC-day move to build a clean three-bar chart, so that comparison is not shown this edition. Options flow: Tuesday's largest VIX trade was an unusual approximately \$6m purchase of deep in-the-money puts (563 contracts at the 110 strike expiring 21 Oct for \$5.1m, plus 130-strike puts expiring 18 Nov for \$1.2m) with no prior open interest in either strike – a high-conviction bet that VIX grinds lower over the next two months^[32]. A third-party desk estimate (SpotGamma, not independently verified) placed the positive/negative dealer-gamma flip near SPX 7,600, with limited downside cushioning below that level^[33]. CFTC's Commitment of Traders report remains dated 8 September; the next release, due Friday 18 Sept, will cover 15 Sept positioning – stating the lag explicitly since it is now more than a week stale^[34].

6. The day ahead

Date	Event	Consensus / context
Thu 17 Sept	Bank of England rate decision	Consensus: hold at 3.75% (last changed 30 Jul, a divided 6-3 vote); UK CPI has since risen to 2.9%, keeping the hold-vs-hike debate live ^[16]
Thu 17 Sept	US initial jobless claims; housing starts & building permits (Aug)	Specific claims consensus for this release not found. Housing starts/permits consensus figures are single-sourced (approx. 1.320m starts, approx. 1.400m permits) – treat as indicative ^[17]
Fri 18 Sept	Bank of Japan rate decision (approx. 3:30pm JST)	Consensus: +25bp to approx. 1.25%; a Bloomberg survey found all 52 polled BOJ watchers expect the hike ^[35]
Fri 18 Sept	September triple witching	Citadel Securities estimated approx. \$6.2tn of US options open interest set to expire, a figure that had been expected to grow further into the date ^[36]
Fri 18 Sept	CFTC Commitment of Traders	Covers 15 Sept positioning data, first fresh CoT read since 8 Sept ^[34]

Sector setup we take into Thursday

- Banks (GS/WFC/BAC/C, all -2.4% to -4.0%) face a genuinely higher-for-longer repricing after a hawkish dot plot rather than a one-day rate reaction – watch for follow-through or a dip-buying bounce Thursday.
- Energy gave back the prior session's gain in full (XLE -2.88%) as the Saudi pipeline narrative flipped from bullish to bearish; the setup now hinges on whether Wright's "days to weeks" restoration timeline holds.
- Technology and Health Care were the only green sectors and enter Thursday as the relative-strength leaders; Intel's SK Hynix headline is a stock-specific catalyst to watch for confirmation or denial.
- USD/JPY's jump into a hawkish Fed decision raises the stakes for Friday's BoJ meeting – a rate-differential-narrowing hike could produce an outsized yen reaction given Wednesday's positioning.

Annex A — Data points sought but not verified this edition

- GBP/USD Wednesday close – only an unconfirmed directional estimate (approx. -0.7%) was found; no exact print corroborated, so omitted rather than estimated.
- Precise SPX intraday high/low tick range for Wednesday – only the qualitative post-release-gain-then-reversal path is sourced, not exact index levels.
- A historical-average FOMC-day move benchmark – not sourced; needed for a three-bar implied/historical/realized chart, so that chart type was not used this edition.
- Business Inventories and Import/Export Price Index actual prints for Wed 16 Sept – scheduled per calendar sources but figures not located.
- Philadelphia Fed Manufacturing Index (due Thu 17 Sept) consensus/prior – three sources gave inconsistent figures (31.3/47.4 vs. 41.4 vs. 19.2/19.4); unresolved, omitted rather than guessed.
- Thursday 17 Sept initial jobless claims consensus specific to that release – only the prior week's actual/consensus pair was found.
- NYSE/Nasdaq closing breadth – not obtainable; Reuters' final wrap continues to drop this block.
- Official LME 3-month copper settlement direct from lme.com – site did not return usable data this run (reversing edition 21's successful direct fetch); SMM's secondary print was used and flagged single-sourced instead.
- Henry Hub natural gas exact Wednesday close – only one uncorroborated secondary figure (approx. \$2.90/MMBtu, -0.55%) was found.
- Official CME FedWatch probabilities – page continues to block automated fetching; Kalshi/Polymarket/economist-poll ranges used instead.
- Official Treasury H.15 par yields – not posted by the research cutoff; secondary-market levels used and disclosed as such.
- Dealer gamma positioning – only a third-party desk estimate (SpotGamma) was available; not independently verified.

Annex B — Sources

- [1] AP "How major US stock indexes fared Wednesday 9/16/2026," syndicated via ktvb.com, krmg.com, lancasteronline.com; SPY/DIA/IWM proxy cross-check via stockanalysis.com
- [2] Federal Reserve Board of Governors, bios page, federalreserve.gov/aboutthefed/bios/board
- [3] Federal Reserve, FOMC press release, federalreserve.gov/newsevents/pressreleases/monetary20260916a.htm
- [4] Stockanalysis.com, SPDR sector ETF (XLE/XLK/XLC/XLY/XLP/XLRE/XLF/XLB/XLI/XLU/XLV) price-history pages, 16 Sept 2026
- [5] Fortune, "Stocks slide toward lowest level since July after Warsh's hawkish press conference," fortune.com, 16 Sept 2026
- [6] Federal Reserve Summary of Economic Projections, 16 Sept 2026, as reported by Kitco News and Seeking Alpha
- [7] CNBC, Fed rate-decision press-conference recap, cnbc.com/2026/09/16/fed-rate-decision-september-2026.html
- [8] CNBC, "10-year Treasury yield climbs back to 5% after Fed hikes rates, Warsh highlights inflation risks," 16 Sept 2026
- [9] Bloomberg, "US Two-Year Yields Rise as Traders Bet on Further Fed Increases," 16 Sept 2026
- [10] Cross-venue rate-odds roundup: Kalshi/Polymarket-referencing coverage (bonus.com) and DeFi-Rate-sourced Yahoo Finance coverage, Aug-Sept 2026
- [11] Polymarket-referencing coverage of October-meeting hike odds, 16 Sept 2026 (single-sourced)
- [12] US Census Bureau, Advance Monthly Retail Trade Report, August 2026 release (16 Sept 2026)
- [13] Al Jazeera/Oman FM statement (X/Twitter) on Salalah Iran-GCC talks postponement, reconfirmed no new date as of 16 Sept 2026
- [14] Coverage of Section 232 copper tariff status and CBP ACE country-of-origin enforcement change effective 14 Sept 2026
- [15] Federal Reserve, implementation note, federalreserve.gov/newsevents/pressreleases/monetary20260916a1.htm
- [16] Bank of England preview coverage (financecalendar.com and related previews), consensus hold at 3.75%, 16 Sept 2026
- [17] Economic-calendar aggregator, US housing starts/building permits forecasts for 17 Sept 2026 release (single-sourced)
- [18] CNBC and Investrade market review, Brent/WTI settlement prices and Saudi pipeline commentary (Energy Sec. Chris Wright), 16 Sept 2026; Bloomberg "Oil Extends Slump as Saudi Arabia Moves to Restore Key Pipeline"; DTN "Oil Sinks 3% on Saudi Pipeline Restart Plan, Fed Hike"
- [19] Wire report via nationthailand.com, "Gold falls 1.2% after US Fed rate rise," 16 Sept 2026; Bloomberg "Gold Holds Decline After Fed Tilts Hawkish and Raises Rates"
- [20] Yahoo Finance/wire coverage of COMEX December gold futures settlement, 16 Sept 2026
- [21] Vantage Markets and Investrade market review, DXY/EUR-USD/USD-JPY levels, 16 Sept 2026
- [22] Shanghai Metals Market (SMM), LME copper 3-month morning-meeting minutes, 16 Sept 2026
- [24] Stockanalysis.com stock-history pages for GS, WFC, BAC, C, JPM, 16 Sept 2026; CNBC bank-stock coverage citing CEO David Solomon remarks
- [25] Yahoo Finance/talkbusiness.net, J.B. Hunt Q3 guidance warning coverage; Barclays and BofA analyst notes, 16 Sept 2026
- [26] econcurents.substack.com, "16 September 2026 Market Close" recap
- [27] CBOE cdn.cboe.com delayed-quotes JSON feed, VIX/VIX9D/VIX3M/VIX6M/VVIX/SKEW, last_trade_time 16 Sept 2026
- [28] CNBC, Motley Fool, Schaeffer's Research coverage of Intel/SK Hynix Ohio fab talks, 16 Sept 2026
- [29] Lennar Corp. Q3 FY2026 earnings release and coverage, 16 Sept 2026
- [30] dailytradealert.com, Benzinga-derived "Analyst Upgrades and Downgrades for Wednesday, 9/16," 16 Sept 2026
- [31] Yahoo Finance, "Stock market today," SPX close-to-close calculation, 16 Sept 2026
- [32] CNBC, "Bizarre volatility bet in the options pits is a head-scratcher ahead of Fed rate decision," 16 Sept 2026
- [33] SpotGamma FOMC preview commentary (spotgamma.substack.com), search-index sourced, third-party dealer-gamma estimate
- [34] CFTC.gov, Commitments of Traders reports index, checked 17 Sept 2026
- [35] Bloomberg survey of 52 Bank of Japan watchers, via financecalendar.com Bank of Japan preview
- [36] Citadel Securities options-expiration estimate for September triple witching, as reported late Aug 2026 and reconfirmed

Method: every figure traces to a named source in Annex B; where sources disagreed, the better-corroborated figure was used and the conflict disclosed. Nothing estimated or filled from memory – unverifiable items are listed in Annex A. Not investment advice.